

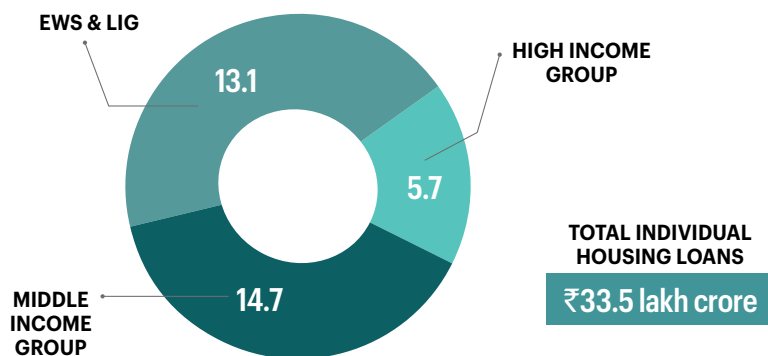
ing Finance, a niche player in the affordable housing market.

Yet independent experts ask—are all HFCs adequately equipped to manage this risk? “This transition demands distinct underwriting approaches and skillsets,” says Sriram Kalyanaraman, BFSI Advisor, Practus, with prior stints at Equifax Credit Information Services, Deutsche Bank, and Standard Chartered Bank.

Many large HFCs claim to be developing new credit assessment models that factor in informal income, seasonal cash flows, and alternative documentation. PNB Housing Finance has developed specialised products, which involve visiting the customer, evaluating his business on-site, estimating income, and preparing a basic profit and loss account and balance sheet to support the loan assessment. “This model requires every customer to be physically visited, salaried customers by a sales manager, and self-employed customers by a credit manager,” says a top PNB official. In fact, PNB has also developed customised templates or modules tailored to specific industries and geographies to improve underwriting accuracy. For instance, trading businesses in Gujarat may operate differently from those in Karnataka. These modules serve as reference points, helping underwriters estimate a customer’s revenue, expenses, and profit based on typical business patterns.

THE LOAN PIPELINE

- **MIG has the biggest share but EWS & LIG is close 2nd in loans outstanding**
- **About 90 out of 100 HFCs have shifted to lending for affordable housing**



NOTE FIGURES IN ₹ LAKH CRORE EWS: ECONOMICALLY WEAKER SECTION; LIG: LOW-INCOME GROUP; LOAN BREAKUP IS FOR OUTSTANDING LOANS AS OF SEPTEMBER 2024; **SOURCE** PIB

Since most HFCs have jumped into the affordable housing market, playing the low-interest rate game is no longer enough. HFCs must develop products that are tailored to the unique requirements of their target market to set themselves apart in a competitive environment.

RISKS ON THE HORIZON

HFCs carry structural weaknesses—greater exposure to self-employed customers, concentration in specific geographies, and rela-

tively unseasoned books—that standard risk models may struggle to capture. In its financial stability report in June, the Reserve Bank of India cautioned that HFCs, though capitalised, face risks from over-leveraged borrowers, dependence on wholesale funding, and systemic interconnectedness.

According to CareEdge Ratings, the performance of HFCs has been good in the past few years, and this is expected to continue. “Nonetheless, a significant

3 Affordable housing finance is projected to grow at 15% CAGR, making it the next growth engine



4 Small-ticket, affordable loans deliver higher yields and attract more players, leading to crowding the space

5 Easy capital availability and global private equity interest are driving M&As and consolidation